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Europe's Arnold moment – why strategy over spectacle matters

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Europe's Arnold moment – why strategy over spectacle matters

The first month of 2026 has confirmed we've entered a new era of political muscle flexing. Europe may have signalled strength in the face of geopolitical tensions lately, but does it have a clear-cut strategy to back it up? As we've learnt from our friend Arnold, flexing without a plan is just posturing

A confession: I have always been a secret fan of Arnold Schwarzenegger. More than his acting career – the Terminator, Kindergarten Cop, even those dodgy Conan movies – it's his entire trajectory that fascinates me. Schwarzenegger is living proof that, beyond superficial posturing, the combination of strong will and a clear strategy is ultimately what can take you from a bodybuilding studio in Graz, Austria, to the governor's mansion in California.

Why write about Arnold here? The first month of 2026 has confirmed we've entered a new era – one of political muscle flexing.

The initial tensions over Greenland and threatened tariffs may have subsided, but the episode was a stark reminder of how fragile transatlantic relations have become. Invading or purchasing a NATO ally? Threatening tariffs because 13 German soldiers are exploring Greenlandic territory? Unthinkable until recently. Now increasingly plausible.

This wasn't just trade brinkmanship. We've reached a new level of escalation, where tariffs serve any policy objective and where European opposition to Washington is suddenly fashionable. For now, the flexing has worked. But it's playing with fire. My gut sympathises with Europe's threatened counter-measures; my head asks what exactly drove this newfound courage besides desperation.

The fundamentals haven't changed since last summer, when Europe accepted an unfavourable trade deal simply to avoid worse. Europe remains more dependent on the US than vice versa – through digital services, energy, and security. Yes, Europe could inflict economic pain. But American leverage is still significant. Muscle flexing can prove effective, but only until those muscles are actually put to the test. How confident are we that Europe would have pulled the trigger on its trade bazooka? And how sure are we that it wouldn't have turned out to be a water pistol? Good thing we didn't have to find out.

This episode will leave lasting damage. It's been one more wake-up call – perhaps the loudest yet – that Europe needs to think and act differently. 2026 has become decisive: either we'll celebrate milestone improvements in integration, simplified regulation, and reduced bureaucracy. Or, in September, we'll mark the second anniversary of the Draghi report and conclude that it looks handsome on bookshelves but nowhere else.

The trade agreements with Mercosur and India signal awareness. Closing decades-old negotiations is an achievement, likely impossible without Trump's prodding. But let's be clear: both deals bring minimal near-term economic relief. They preserve Europe's export-driven growth model – a risky bet when Chinese industrial competition dominates even the Indian market. And the ratification struggles around Mercosur show that not everyone has heard those wake-up calls.

Arnold Schwarzenegger regularly sends out a motivational newsletter. In his latest edition, he talks about vision: "I always say a pilot who takes off with no idea where he is going will eventually crash." Better still: "Hope is not a strategy." He recommends translating vision into plans and working at them daily.

Concluding trade deals is fine. But where is Europe's actual strategy? Muscle flexing without a plan to back it up is just posturing. Arnold didn't hope his way to Sacramento. He had discipline, knew when he had leverage, and executed it relentlessly. Does Europe? Right now, I see flexing. I see wake-up calls. I see Draghi reports on shelves.

What I don't see yet is a clear, deliberate strategy. And when push comes to shove, as Arnold reminds us, mere hope isn't going to cut it.

carsten.brzeski@ing.de

Our key calls this month

- **United States:** We had been forecasting that the Fed would cut rates at the March and June FOMC meetings, but given the solid growth backdrop, we now think the timeline will be pushed back three months. A March rate cut would require consecutive drops in employment, which isn't something we're forecasting.
- **Eurozone:** The economic recovery is continuing, despite renewed geopolitical uncertainty. The bar for another ECB rate cut remains high.
- **United Kingdom:** We're sticking to our call for a March and June Bank of England rate cut, amid weak hiring data, rapidly slowing wage growth and an improving inflation backdrop.
- **Central and Eastern Europe:** Poland's strong data should delay its next rate cuts until March. The Czech economy is set to grow thanks to consumption and low inflation, allowing easing to restart. Easing in Hungary is likely amid political uncertainty.
- **FX:** We are bearish on the dollar this year on the back of declining rate differentials and some genuine growth opportunities outside of the US – including Europe. In the short term though, our preference is that EUR/USD can continue to trade in a broad 1.16-1.19 range.
- **Market Rates:** Our bias is for higher US and eurozone rates in the near term. We're forecasting 4.5% on the US 10-year through the first half of this year.

Key risks to ING's outlook

	Upside scenario	ING base case	Downside scenario
United States	OBBBA tax cuts boost incomes and sentiment and Congress passes "tariff dividend" stimulus checks. President Trump subsequently cuts tariffs on key goods. Jobs market improves and growth picks up but so does inflation.	Growth strong in H1 but concentrated in AI investment & high-income consumers. Employment growth stays low. Inflation trends towards 2%. Fed cuts rates in June and September.	AI doubts spark stock market correction, hitting consumer spending while curtailing investment and construction. Fed forced to cut rates more rapidly but slow transmission limits stimulatory effect on growth.
Eurozone	Geopolitical and trade tensions fade and support European exports. Driven by net exports and fiscal stimulus, private investment picks up strongly. A reliable peace agreement starts reconstruction of Ukraine.	Manufacturing in a cyclical recovery, helped by German stimulus & EU recovery fund. Structural challenges remain unaddressed. Inflation stays benign. ECB on hold in 2026/27.	An escalation of geopolitical tensions holds back private investment and make net exports a drag on the economy. German stimulus falters and lack of reforms/European integration dents sentiment and activity.
China	External demand holds up better than expected, China secures more trade and investment deals, China-US truce holds and is extended again. Stronger-than-expected domestic stimulus stabilises consumption and investment.	A slight moderation of growth in 2026 as the boost from external demand slows. Inflation recovers as food price deflation turns around. Policy support will continue this year, with focus on boosting domestic demand.	External demand slows, more countries turn protectionist versus China. Domestic stimulus remains incremental and targeted, failing to turn around weak confidence. Property market continues to decline.
United Kingdom	BoE proves more receptive to lower inflation than expected, taking rates sub-3%. Savings ratio falls faster. Healthy household/corporate balance sheets enable faster credit expansion. Economy grows 1.5%+ in 2026.	Slower growth in 2026 (1%), given zero disposable income growth, falling employment and fiscal tightening. Inflation to fall dramatically in Q2 to 2%. Bank of England to cut rates in March and June.	Markets remain sensitive to a change in political leadership. May's local elections are a flashpoint; Labour is expected to do badly. A perception that a new PM/Chancellor would boost borrowing risks higher yields/slower growth.

Source: ING

ING global forecasts

	2025		2026					2027				
	4Q25	2025	1Q26F	2Q26F	3Q26F	4Q26F	2026F	1Q27F	2Q27F	3Q27F	4Q27F	2027F
United States												
GDP (% QoQ, ann)	2.7	2.2	2.7	2.2	1.8	1.9	2.7	1.9	2.0	2.0	2.0	2.0
CPI headline (% YoY, avg)	2.7	2.7	2.6	2.8	2.5	2.4	2.6	2.2	2.1	2.1	2.1	2.1
Federal funds (%, eop)	3.75	3.75	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25
3-month SOFR rate (%, eop)	3.70	3.70	3.70	3.50	3.30	3.30	3.30	3.30	3.30	3.30	3.30	3.30
10-year interest rate (%, eop)	4.20	4.20	4.50	4.50	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25
Fiscal balance (% of GDP)		-5.9					-6.1					-6.2
Gross public debt / GDP		100.5					101.6					103.7
Eurozone												
GDP (% QoQ, ann)	0.8	1.4	0.9	1.3	1.7	1.8	1.2	1.6	1.4	1.3	1.2	1.6
CPI headline (% YoY, avg)	2.0	2.1	2.0	1.9	1.8	1.9	1.9	2.0	2.0	2.0	2.1	2.0
ECB Deposit Rate (%, eop)	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
3-month interest rate (%, eop)	2.00	2.00	2.00	2.00	2.10	2.10	2.10	2.10	2.10	2.10	2.10	2.10
10-year interest rate (%, eop)	2.85	2.85	2.90	2.95	3.00	3.10	3.10	3.15	3.20	3.25	3.25	3.25
Fiscal balance (% of GDP)		-3.4					-3.5					-3.4
Gross public debt/GDP		90.6					92.8					93.3
Japan												
GDP (% QoQ, ann)	0.8	1.1	1.6	3.0	1.6	1.2	1.3	0.8	0.8	0.8	0.8	1.2
CPI headline (% YoY, avg)	2.7	3.2	1.9	1.9	2.0	1.7	1.9	1.9	1.9	1.9	1.9	1.9
Target rate (%, eop)	0.75	0.75	0.75	1.00	1.00	1.00	1.00	1.25	1.25	1.25	1.50	1.50
3-month interest rate (%, eop)	1.10	1.10	1.15	1.20	1.20	1.30	1.30	1.50	1.50	1.70	1.70	1.70
10-year interest rate (%, eop)	2.10	2.10	2.25	2.50	2.50	2.75	2.75	2.75	2.75	3.00	3.00	3.00
Fiscal balance (% of GDP)		-7.1					-4.6					-4.6
Gross public debt/GDP		235					235					232
China												
GDP (% YoY)	4.5	5.0	4.6	4.6	4.7	4.5	4.6	4.2	4.9	4.4	4.4	4.5
CPI headline (% YoY, avg)	0.7	0.1	1.1	0.5	0.9	1.0	0.9	1.1	1.2	1.2	1.2	1.2
7-day Reverse Repo Rate (% eop)	1.40	1.40	1.40	1.30	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
3M SHIBOR (% eop)	1.60	1.60	1.60	1.55	1.50	1.45	1.45	1.45	1.45	1.45	1.45	1.45
10-year T-bond yield (%, eop)	1.85	1.85	1.90	1.90	1.95	2.00	2.00	2.00	2.05	2.10	2.15	2.15
Fiscal balance (% of GDP)		-5.50					-5.3					-5.3
Public debt (% of GDP), incl, local govt		135					145					-
United Kingdom												
GDP (% QoQ, ann)	0.8	1.4	1.4	1.2	0.8	0.8	1.0	1.7	1.7	1.7	1.7	1.4
CPI headline (% YoY, avg)	3.4	3.4	2.8	1.9	2.1	2.2	2.2	2.1	2.2	2.3	2.3	2.2
BoE official bank rate (%, eop)	3.75	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25
3-month interest rate (%, eop)	3.90	3.90	3.70	3.35	3.20	3.20	3.20	3.20	3.20	3.20	3.20	3.20
10-year interest rate (%, eop)	4.40	4.40	4.50	4.40	4.30	4.30	4.30	4.30	4.30	4.30	4.30	4.30
Fiscal balance (% of GDP)		4.0					3.6					3.1
Public sector net debt (FY, %)		95.4					96.1					96.4
EUR/USD (eop)	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22	1.22	1.22	1.22
USD/JPY (eop)	157	157	155	153	153	152	152	150	148	147	145	145
USD/CNY (eop)	6.99	6.99	6.95	6.95	6.90	6.90	6.90	6.90	6.90	6.85	6.80	6.80
EUR/GBP (eop)	0.87	0.87	0.88	0.89	0.89	0.90	0.90	0.90	0.90	0.90	0.90	0.90
ICE Brent - US$/bbl (average)	63	68	58	56	58	54	57	58	60	66	63	62
Dutch TTF - EUR/MWh (average)	30	36	33	28	27	30	30	30	24	24	27	26

Source: ING forecasts

Geopolitical environment supports oil as weather sends gas soaring

Warren Patterson
Head of Commodities Strategy
warren.patterson@ing.com

Commodities have had a strong start to the year. In fact, the Bloomberg Commodity Index is on course for its strongest performance for a January in more than a quarter of a century. Numerous geopolitical risks, policy uncertainty, freezing weather conditions and USD weakness have provided a boost to energy and metal prices

The US gas market has dominated market moves recently, with a severe winter storm across the US raising heating demand and leading to production shut-ins

Oil up for now but surplus set to weigh on prices

Oil prices have held up well so far this year, with several geopolitical events providing support to the market. The US arrest of Venezuela's president and escalating tensions between the US and Iran pose risks to supply, particularly with the latter. An escalation between the US and Iran puts around 1.5m b/d of Iranian oil exports at risk – but clearly, any escalation would also raise concerns over broader Persian Gulf oil flows through the Strait of Hormuz, where roughly 20m b/d moves through.

There have also been disruptions to oil supply elsewhere. This has proved supportive for the prompt Brent timespread, which has strengthened this month. Kazakh oil exports from the CPC terminal in Russia have been under pressure following drone attacks on the terminal, while oil production from the country has also faced unplanned outages due to power issues. Still, these flows are set to recover in the weeks ahead. Meanwhile, freezing weather conditions in the US not only provide support to demand for heating fuels but also pose a risk to some US oil production and refinery operations.

However, the scale of the expected oil surplus in the market suggests that if and when geopolitical risks ease, we should see oil prices coming under pressure. We continue to hold onto the view that ICE Brent will average $57/bbl over 2026. A weakening in timespreads would make us even more confident in the view of lower oil prices.

Natural gas prices surge on US deep freeze

Natural gas prices have seen significant strength through January. Initially, strength was seen in the European market, with colder weather, tighter storage, and speculative short-covering providing a boost to TTF.

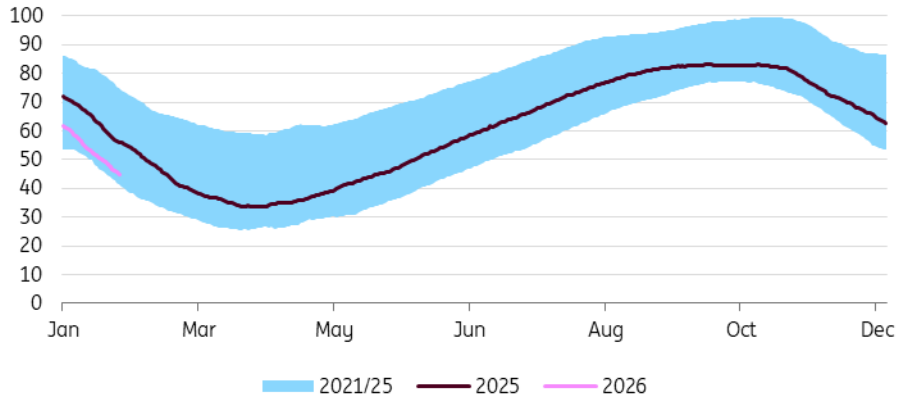
However, more recently, the US gas market has dominated market moves, with a severe winter storm across the US raising heating demand and leading to production shut-ins. This saw Henry Hub front-month futures more than double in as little as 10 days, trading to their highest levels since 2022. Speculators were also caught off guard, holding a net short in Henry Hub ahead of the storm. Short covering from speculators would have only added fuel to the fire. The impact of the storm is likely to lead to a significant drawdown in US natural gas storage, but given that storage was very comfortable ahead of the storm, it should be manageable; we expect that prices will correct lower, assuming no longer-term impact on supply from the storm.

The US winter storm has raised further supply concerns for Europe, with US LNG plants having reduced operating rates, suggesting that US LNG flows to Europe could slow. This has led to European gas prices trading at a large premium to Asia to ensure LNG cargoes are directed to Europe.

It is looking increasingly likely that EU gas storage will finish the 2025/26 heating season below 2022 levels. However, the difference between 2022 and 2026 is that now we have a sizeable amount of LNG export capacity ramping up, which should ease supply concerns in the medium to long term. In addition, there is much less uncertainty over Russian gas flows to Europe in 2026 than in 2022.

We retain our forecasts for TTF to average EUR33/MWh over the first quarter of 2026 and EUR30/MWh over the full year 2026.

EU gas storage tighter than usual (% full)



Source: GIE, ING Research

Our view on the major central banks

We're pushing back our call for the next Federal Reserve rate cut to June, given the solid growth backdrop. We still expect the European Central Bank to keep rates on hold this year

James Knightley
Chief International Economist, Americas
james.knightley@ing.com

Carsten Brzeski
Global Head of Macro and Chief Economist, Eurozone, Germany, Austria
carsten.brzeski@ing.de

James Smith
Economist, Developed Markets
james.smith@ing.com

Min Joo Kang
Senior Economist, South Korea and Japan
min.joo.kang@ing.com

So far this year, we're expecting cuts from the Fed and the BoE, a pause for the ECB in its 'good place', and a summer rate hike from the BoJ

Federal Reserve

After four 25bp interest rate cuts in 2024 and three in 2025, we forecast only two 25bp rate cuts from the Fed in 2026. The economy continues to report healthy growth, and equity markets are at all-time highs. Still, there are concerns about the resilience of the jobs market and the concentration risk of the growth story, where high-income household spending and tech investment dominate.

Inflation has been better behaved than feared in the wake of the President's tariffs on foreign-made goods, and we expect lower gasoline prices, slowing housing rents and cooling wage growth to allow it to continue trending down towards the 2% target. Monetary policy is still slightly restrictive, and although the growth story is firm, we expect the Fed to be able to move policy closer to a neutral setting, given the risks that the jobs data continues to lose momentum.

We had been forecasting that the Fed would cut rates at the March and June FOMC meetings, but we now think the timeline will be pushed back three months. To deliver a March rate cut, the Fed's dual mandate needs to come under pressure quickly. It would probably require two consecutive drops in employment in the January and February jobs reports to get a majority of members backing it, and that is not something we are forecasting.

European Central Bank

Given everything currently going on in the world, the ECB has almost become a beacon of continuity – some might even say boredom. The ECB simply calls it its 'good place', i.e., a eurozone economy that looks set to grow at around potential and an inflation rate settling around target.

What's not to like? Well, maybe the high level of uncertainty in both geopolitics and economic outcomes. Up until now, there has been a clear disconnect between geopolitics and macroeconomics. No one knows whether this disconnect will hold or whether one side of the equation will eventually move. Geopolitical risks could slow down, or the economy could eventually still weaken. But for now, the ECB remains comfortably in its good place. We expect policy rates to remain unchanged for the rest of the year. It would need strong positive or negative surprises to force the ECB back into action.

Bank of England

We continue to expect rate cuts from the BoE in March and June, even if markets don't expect another move before the summer. The data points to further easing: hiring is weak, wage growth is slowing, and inflation is set to fall dramatically between now and April. But the Bank itself remains cautious. Doves and hawks alike have pointed to wage growth expectations, which, according to one BoE survey, have bottomed out at 3.5-4% – a little higher than officials would like.

Nothing has dramatically changed since December, so a rate cut in February is unlikely. We doubt we'll see a big change in signalling, either. But by March, we'll have had another two rounds of jobs/wage/price data, and if recent trends continue, we think the Bank will have enough confidence to cut rates further. Remember, the committee is heavily divided, so it only takes one or two officials to change their view to dramatically change the path of interest rates.

Bank of Japan

The Bank of Japan kept its policy rate steady at 0.75% in January, while the outlook for growth and inflation in FY2026 has been raised, reflecting increased confidence in the overall economic outlook. We have moved our expectations for the timing of the next rate hike forwards from October to June. Previously, we expected that the BoJ would delay action due to slowing inflation and growing concerns over tariffs and challenges from China. Now, we foresee more robust wage growth during the upcoming Shunto, firmer price adjustments in April, and expanded fiscal stimulus measures, all of which increase the likelihood of a rate hike in June.

We think that an April hike is less probable, as the BoJ needs to carefully balance the yen and rates. The BoJ aims to avoid JPY weakness that could drive up domestic inflation, but with the currency expected to remain below 157, the central bank has room to wait. At the same time, it should closely monitor rate markets. With the recent spike in JGB yields, the BoJ is expected to work even more closely with the pro-stimulus Takaichi administration. The BoJ is likely to exercise caution if fiscal concerns spill over and start lifting short-end tenors as well.

Evolution, not revolution for the Federal Reserve

James Knightley
Chief International Economist, Americas
james.knightley@ing.com

The scale of change at the Fed won't be as dramatic as expected six months ago, with data remaining the prime driver of policy changes. Nonetheless, the new chair, looking set to be former Fed Governor Kevin Warsh, may be more willing to restart quantitative easing should upward pressure on Treasury yields occur

The battle between the President and Fed Chair has been a gripping one. Will Powell stay on?

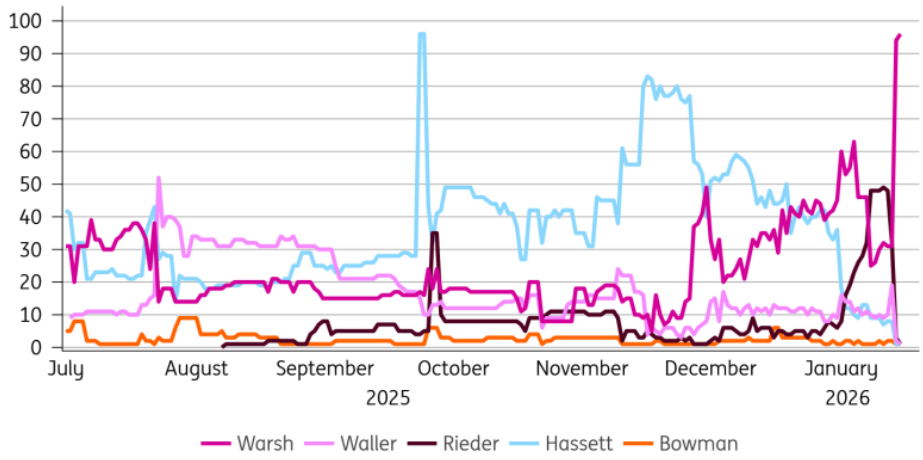
Kevin Warsh set to be named new Fed chair, but will Powell stay on?

The battle between a president who believes the Federal Reserve should be cutting interest rates and an incumbent chair focused on protecting the central bank's credibility to fulfil its Congressional statutory mandate – maximum employment and price stability – has been a gripping watch. Notionally, it should conclude on 15 May when Jerome Powell's term as chair ends. However, barring a seismic economic shock, the president's demands that the new chair cut interest rates "at least two to three points" to juice growth will not be met, risking a re-escalation in tensions down the line.

For the past few months, it has been widely assumed that Trump's pick for chair would be one of Director of the National Economic Council Kevin Hassett, former Fed Governor Kevin Warsh, current Fed Governor Chris Waller and Rick Rieder, BlackRock's Chief Investment Officer for Global Fixed Income. Headlines at the time of writing suggest Warsh is the favoured candidate, with a formal announcement imminent, despite the perception he was something of an inflation hawk during his previous time at the Fed.

The belief had been that arch-dove Stephen Miran's temporary governorship, which ends on 31 January, would be used to facilitate entry onto the Board of Governors of an external appointee and with Powell expected to step down as a governor after relinquishing his chair position, another dove could be inserted into the committee. Then, with the Administration assuming it could force out and replace Governor Lisa Cook on "gross negligence" charges over alleged historical mortgage fraud, the president's desire for lower borrowing costs could be steamrolled through.

Who will be the next Fed chair? Probability in PredictIt prediction markets



Source: Macrobond, ING

The Fed fights back

That is looking less likely by the day, with the Supreme Court arguments on the Lisa Cook case casting doubts on the president's authority to remove her. This should keep her position safe until the summer – a decision is expected by late June. Moreover, there is a growing belief that Powell, having been served with a Grand Jury subpoena, is emboldened not to step down from his governor role – separate from his chair position – and instead continues to serve as an FOMC voting member until that position expires on 31 January 2028. The rationale being that he will do all he can to protect the Fed's independence. President Trump acknowledged that prospect, cautioning, "If that happens, his life won't be very, very happy, I don't think."

There are other changes: the scheduled voting rotations see the presidents of the Cleveland, Philadelphia, Dallas, and Minneapolis Feds gaining voting rights, and the presidents of the Chicago, St. Louis, Kansas, and Boston Feds losing them. However, given their respective commentaries, the most we can say is that these changes imply a very, very marginal dovish shift in positioning.

Given that FOMC interest rate decisions are decided by a committee on the basis that each voting member has one vote, a new Fed chair will not be able to do the president's bidding unless the data supports it, with a majority agreeing. Kevin Warsh's previous experience of the decision-making process and his past emphasis on the need for price stability suggest he will not go down that route if he is indeed confirmed as the president's pick. Instead, we suspect that the new Fed chair would encourage members to be more forward-looking, given valid past criticisms that the Fed has been slow to respond to changing circumstances, most notably the delayed response to evidence of post-pandemic inflation.

Inflation fighting credentials remain critical

In any case, key members within the Administration, such as Treasury Secretary Scott Bessent, recognise that it's the 10Y Treasury yield that they should be "focused" on given its implications for borrowing costs for households, corporates and government. Unjustified interest rate cuts risk damaging the Fed's inflation credibility, which could push up the term premium for longer-dated borrowing costs. This would lead to a higher, steeper yield curve, which would undermine the president's growth targets and potentially the dollar and equity valuations too.

Of course, this raises the interesting possibility, as we wrote in our 2026 outlook, that the "new" Fed may be more willing to restart asset purchases should the 10Y yield start to

rise rapidly on, say, fiscal concerns. A more coordinated/collaborative approach between the Treasury and the Federal Reserve means QE action looks more probable.

Despite this, we expect the Fed, even under new management, to emphasise the need for independence, but perhaps be willing to be bolder – willing to take a risk – at potential turning points. As such, it is likely to be more of a gradual evolution rather than a revolution at the new Fed.

Robust US growth, but it lacks breadth

James Knightley
Chief International Economist, Americas
james.knightley@ing.com

The US economy looks set to post a sixth consecutive year of 2%+ real growth, led by strength in spending by high-income households and tech investment. But traditional capex and construction activity are treading water, and the economy is struggling to create jobs

Spending remains resilient among the top 20% of US households

Growth immune to the government shutdown

We have revised our US 2026 GDP growth forecast higher to 2.7% from 2.3%, in part reflecting a stronger fourth quarter of 2025. The government shutdown was thought to mean growth would slow notably in the fourth quarter, but the private sector has performed well and the October trade report was remarkable in that the deficit of $29bn was the smallest outcome since 2009 when the economy was depressed after the Global Financial Crisis.

This sharp narrowing of the trade deficit likely reflects delayed shipments related to hopes that the initial 'Liberation Day' tariffs would be cut. Given that it can take many months for products to be delivered by sea, these decisions take time to show up in US data. The trade situation will eventually normalise, but we think a 4Q GDP expansion of close to 2.5% looks plausible even with a rundown in inventories, rather than a little over 1% as previously predicted.

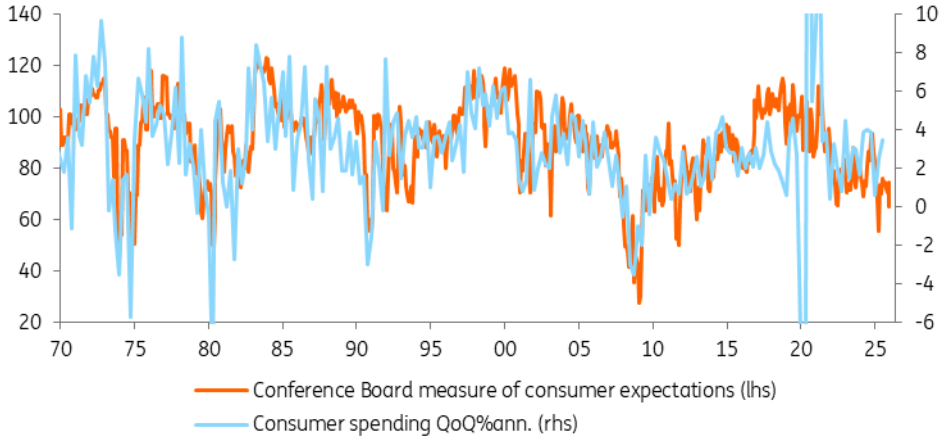
High income households and tech continue to drive growth

In terms of 2026, the K-shaped narrative surrounding the economy dominates in both the corporate and household sectors, and this should keep growth above trend in 1H 2026. The top 20% of households by income continue to spend strongly, boosted by high incomes and soaring wealth, while the bottom 60% are struggling as concerns about job security and the potential for tariff-induced price hikes sap sentiment. Some tax changes may help lower-income households at the margin, with higher tax refunds also expected this year, but the jury is still out on the potential timing and scale of the $2,000 “tariff dividend” payment mooted by the president.

Regarding corporate spending, we've seen four consecutive quarters where business capex outside of tech has contracted, yet investment in computing and software is up 20% year-on-year. This bifurcation looks set to remain a theme through much of 2026, although there is a sense that we may see some moderation in the pace of tech capex growth as business leaders and shareholders seek returns on the money spent. Similar patterns are expected for the construction sector.

At the same time, the jobs market continues to lose steam with Federal government worker lay-offs resulting in non-farm payrolls falling 173,000 in September. There were gains in November and December of 56k and 50k, respectively, but Federal Reserve Chair Jerome Powell's assertion that the Bureau of Labor Statistics is likely overstating jobs growth by around 60k per month means that employment has stalled – a low-hire, low-fire economy.

Consumers continue to spend despite weak sentiment



Source: Macrobond, ING

Inflation and job worries mean two more Fed cuts

The shutdown-delayed inflation data confirmed that tariffs are not having the immediate impact on prices that most feared. We can't rule out that it will lead to higher prices eventually, as there is a belief that some companies are delaying passing on the higher costs to consumers until the Supreme Court rules on IEEPA tariffs. But even if the Supreme Court rules against those specifically, President Trump's team will be looking to swiftly reinstate tariffs via an alternative route.

Nonetheless, the fact that tariffs are coming through so slowly gives more opportunity for lower energy costs, slowing housing rents and weaker wage growth to mitigate and allow inflation to continue trending down towards 2%. Given this backdrop and the caution surrounding the jobs market, we expect the Fed to cut interest rates twice more in 2026. However, the first cut is now more likely in the second quarter rather than in March as we previously forecast.

The eurozone's cyclical upturn continues

Peter Vanden Houte
Chief Economist, Belgium, Luxembourg, Eurozone
peter.vandenhoute@ing.com

Despite renewed geopolitical uncertainty, most economic data shows a continuing modest recovery in the eurozone, even though structural problems are still not fully addressed. Inflation is still likely to hover around 2% this year, but a significant undershoot has become less likely. The ECB has no intention of changing interest rates this year

Despite renewed geopolitical uncertainty, things appear to be brightening up across the eurozone economy

The EU's difficult pursuit of new trade agreements

Geopolitics took centre stage again in January as the Greenland story raised tensions between the European Union and the US, with President Donald Trump also threatening to impose additional import tariffs on several EU member states. This seems to have cooled down for now, which should open the door for the approval of the EU-US trade deal in the still-hesitating European Parliament.

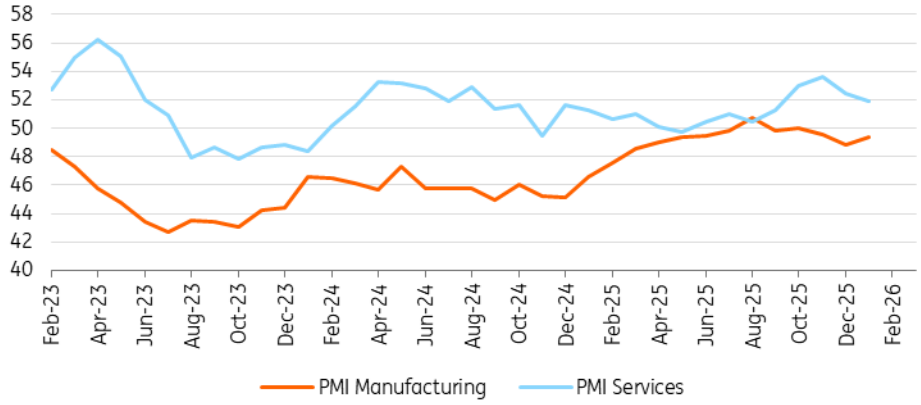
Meanwhile, the EU's aim to diversify away from the US by forging trade agreements with other nations suffered a blow as the European Parliament called on the European Court of Justice to assess whether the EU-Mercosur agreement conforms with the EU treaties. This will significantly delay ratification. Similar obstacles may affect the India trade deal as well, though the exclusion of most agricultural products could reduce resistance. We can only notice that after the wake-up call Europe received from the America First Trump policies, it still seems very hard to sell the case for more integration and reform within the European Union.

The cyclical recovery continues

Despite only limited progress on Europe's structural challenges, the economy appears to be entering a cyclical upswing. The services sector continues to expand, while manufacturing is slowly emerging from its slump. In January, the PMI manufacturing output component rose above the boom-or-bust threshold, accompanied by a notable drop in inventories. Business sentiment regarding the outlook has strengthened, reaching its highest level in nearly four years. Confidence in France has also improved, likely helped by reduced political uncertainty following agreement on the 2026 budget, even though it still targets only a modest reduction of the deficit to 5% of GDP. Germany exited its downturn with 0.2% growth in the fourth quarter of 2025, and the rollout of its expansionary budget should support a further pickup in growth during the year. Still, due

to a smaller carry-over effect, eurozone growth in 2026 is expected to reach about 1.2%, down from 1.4% in 2025.

PMIs show continuing modest recovery



Source: LSEG Datastream

Inflation likely to remain around 2%

December's final HICP reading came in at 1.9%, with core inflation at 2.3%. Wage growth is slowing, though not as quickly as the European Central Bank anticipated, while the recent rise in energy prices is likely to limit downward pressure on inflation in the near term. The PMI survey also reported the fastest increase in services-sector selling price expectations in 11 months. Assuming the energy price rise proves temporary, average headline inflation may still land just below 2% this year, but core inflation is unlikely to follow suit. Therefore, the case for a significant undershoot of inflation this year seems to have weakened.

The ECB remains stuck in a good place

Against this backdrop, the ECB has little incentive to adjust monetary policy. As Chief Economist Philip Lane put it in a recent interview: "In these circumstances, there is no near-term interest rate debate. The current level of the interest rate delivers the baseline for the next several years." We therefore anticipate stable short-term rates throughout 2026 and likely 2027. With market forwards hovering around 2% over the next two years, significant movements in bond yields also seem unlikely, though we still expect a small upward move.

Eurozone countries outlook for 2026

Our analysts provide a breakdown of the economic performance of the eurozone's nine largest member countries

Carsten Brzeski
Global Head of Macro and Chief Economist, Eurozone, Germany, Austria
carsten.brzeski@ing.de

Charlotte de Montpellier
Senior Economist, France, Switzerland
charlotte.de.montpellier@ing.com

Paolo Pizzoli
Senior Economist, Italy, Greece
paolo.pizzoli@ing.com

Ruben Dewitte
Economist, Spain, Portugal
ruben.dewitte@ing.com

Marcel Klok
Senior Economist, Netherlands
marcel.klok@ing.com

Philippe Ledent
Senior Economist, Belgium, Luxembourg
philippe.ledent@ing.com

Franziska Biehl
Senior Economist, Germany, Austria
franziska.marie.biehl@ing.de

Spain's economy remains a eurozone outperformer with 2025 growth nearing 3%

Germany

Despite a disappointing year in 2025 and still sluggish sentiment indicators, there are good reasons to be more positive about the German economy. The latest macro data indicate a clear turning point in industry at the end of last year. Industrial orders have now increased for three consecutive months, and even the argument that bulk orders drove the November surge does not really concern us; with the fiscal spending programme, more of these bulk orders will come this year. In fact, bulk orders could be the new normal, not the exception.

While industry is going through a soft and tentative period of cyclical turning, admittedly at still shockingly weak levels, the announced infrastructure and defence investment plans should finally begin to reach the economy this year. Critics often overlook the sluggishness of Germany's federal decision-making process. It took until late last year for parliament to approve the 2026 budget and almost 30 military procurement contracts. Needless to say, the cyclical upswing will not remove the structural challenges after years of de facto stagnation, but the return to growth could be a first step to end the national depression.

France

In France, uncertainty surrounding the budget is finally easing with the adoption of a compromise budget. The text includes a tax increase, mainly targeting large companies and investors, as well as a very slight reduction in the state's operating expenses. This should allow the deficit to reach 5% of GDP in 2026, compared with 5.4% in 2025 – still higher than previously promised – and would push public debt to 118% of GDP in 2026.

The end of this long budgetary saga reduces economic uncertainty and lowers the risk of early elections, which will support economic activity in 2026 and help bring French-German spreads to their lowest levels since summer 2024.

However, the budget remains unfavourable to businesses, and higher taxes could weigh on investment and job creation. We expect 1% growth in 2026, supported by improving industrial prospects and a modest rebound in consumption. With no structural issues addressed, the preparation of the 2027 budget will be even more challenging and will continue to weigh on economic activity in France, keeping growth below the European average.

Italy

Recent data has confirmed that resilience in the labour market, inflation under control and decent wage growth should have allowed further gains in Italian households' purchasing power by the turn of the year. 2026 looks set to start along the same lines as last year, with modest growth and private investment again the leading driver, almost on par with private consumption.

Investment growth will likely be led by the infrastructural component of construction, spurred by the upcoming deadline of the EU-funded recovery and resilience programme. Consumption growth should build on further gains in disposable income and on a gradual reduction in households' saving ratio after recent post-Covid highs.

With deficit consolidation a top priority, there will be no fiscal room to provide any significant direct growth push. However, as fiscal discipline and political stability are being rewarded by shrinking government bond spreads, the entire economy should indirectly benefit through lower financing costs.

Spain

Spain's economy remains a eurozone outperformer with 2025 growth nearing 3%. However, much of this momentum is quantity-driven: immigration has increased the population, making Spain's performance less impressive when measured by GDP per capita or labour productivity gains.

The key challenge now is for growth to become more quality-led, driven by higher productivity. This will be especially crucial in 2026, as government consumption's growth contribution will be limited in the absence of a budget, net exports will be muted partly due to the strong euro, and private consumption growth is normalising.

Investment is thus set to play a pivotal role, with the EU's Recovery and Resilience Facility (RRF) funds providing significant upside: Spain still has around €20bn in RRF grants to disburse by August 2026, roughly 6% of annual investment spending. While the productivity impact may not be immediate, these investments could mark a turning point toward quality-driven growth and help keep Spain ahead of its eurozone peers in 2026 and beyond.

The Netherlands

Recent data reveals that Dutch GDP growth remains resilient, driven by unexpectedly robust exports. In 2026, the economy will be perhaps more reliant on consumer spending. While export growth is set to moderate, investment growth continues to lag despite increased government investment and housing construction. This weakness stems from low capacity utilisation in certain sectors and ongoing supply-side issues, including nitrogen-emission restrictions and electricity grid congestion.

Politically, the Christian democrats (CDA), social liberals (D66), and liberal conservatives (VVD) are attempting to form a minority government, relying on varying sets of opposition parties. The practical stability and capability of such a coalition to deliver needed reforms and maintain budget discipline are uncertain. The recent split within the PVV, where seven of its 26 seats formed the new Group Markuszower, may improve prospects for tackling long-standing bottlenecks. Businesses are watching closely, aware that effective governance is crucial for actual investment in growth potential.

Belgium

Household consumption is expected to slow this year, reducing one of the Belgian economy's main growth drivers. Several factors contribute to this trend: income growth will be constrained by government reforms, including limits on unemployment benefits, caps on indexation, VAT adjustments, and new taxes, including capital gains.

Moreover, with the savings rate already at a low level – unlike in other eurozone countries – there is little room for further decline to offset weaker income growth. Labour market reforms are expected to progressively boost employment, providing some support to nominal income.

At the corporate level, exports to the United States are likely to slow further. However, this may be partially offset by stronger trade flows with other European partners, notably Germany. Business investment should rise modestly, driven by the need for more efficiency and competitiveness, despite subdued demand.

Public finances will remain under pressure. Despite increased taxation, spending cuts, and pension and labour market reforms, the public deficit is projected to stay close to 5% of GDP this year. Consequently, the risk of a sovereign rating downgrade remains elevated. All in all, Belgian growth in 2026 is expected to remain below the eurozone average, a trend likely to persist into 2027.

Austria

After years of soaring inflation and sluggish growth, Austria finally sees some glimmers of hope. As negative energy base effects fade, and the VAT on staple foods is halved by mid-year, inflation – among the eurozone's highest in 2025 – should ease in 2026.

Growth is expected to come in at around 1% in 2026, ending three years of near stagnation. External demand, supported by recoveries in Germany and Eastern Europe, will lift Austrian industry and exports. Domestic demand remains weak as households keep saving amid a cooling labour market.

Furthermore, Austria's structural weaknesses cast long shadows. High energy prices, labour shortages, elevated labour costs and years of underinvestment continue to erode competitiveness. The government's late-2025 stimulus package – though modest in net effect – may offer some tailwinds, yet without bolder reforms, the outlook risks remaining persistently anaemic. Unfortunately, with an ongoing excessive deficit procedure, delivering transformational measures and extra growth remains difficult.

Portugal

Portugal's economy continues to outperform the euro area, with solid growth in 2025 expected to carry into 2026. This headline strength, however, masks persistent structural weaknesses, notably weak productivity growth and modest gains in GDP per capita. As export momentum eases, reflecting softer tourism activity, US tariff effects, and a challenging global environment, domestic demand is set to remain the main growth driver.

Private consumption is supported by income tax cuts and an expansionary fiscal stance following the 2025 snap elections. Despite this, public finances should remain sustainable, aided by favourable nominal growth. Investment will be shaped by the final disbursements under the RRF, with around €6bn still to be allocated by 2026, nearly 10% of annual investment.

Politically, the presidential election requires a second round of voting scheduled for 8 February 2026, with a right-wing populist Chega candidate advancing to the second round. However, given Portugal's semi-presidential system and the largely ceremonial role of the president, no economic impact is expected from the election outcome.

Greece

We expect 2026 to follow in last year's footsteps, with the Greek economy outperforming the eurozone thanks to a domestic demand boost. Private consumption should continue to benefit from further improvements in disposable income resulting from decelerating gains in employment, above-inflation wage growth, tax reliefs and pension increases.

Investments, in particular infrastructure and energy investments, might see a final rush in view of the upcoming RRF deadline. Given the high import content of investment, a side effect will likely be stronger imports and, consequently, a small drag on net exports on GDP growth.

Coming from a sound fiscal position in 2025, with an almost balanced budget and public debt on a solidly declining path at around 146% of GDP, Greece can afford an expansionary budget this year, which should not prevent a further decline in the debt-to-GDP ratio below the 140% threshold.

China sees a quiet month ahead with 2025 targets done and dusted

Lynn Song
Chief Economist, Greater China
lynn.song@ing.com

With 2025's growth target reached, we expect a relatively quiet month ahead for China as we enter the Year of the Horse. Markets are awaiting the Two Sessions in March, when a new year of targets and policy action will be unveiled

We anticipate a relatively quiet month ahead for China as we enter the Year of the Horse

China accomplishes its 2025 growth target despite 2H25 slowdown

China managed another year of stable growth in 2025, reaching its targeted 5% GDP growth rate, exactly in line with our forecasts and unchanged from 2024. Its 2025 story was one of unexpectedly resilient external demand despite the trade war, clocking a record $1.19tr trade surplus on the year. This led to much stronger-than-expected first-half growth, which was enough to hit the year's growth target despite a clear slowdown in the second half. Growth slowed to 4.5% year-on-year in the fourth quarter, the slowest since the pandemic.

The key questions for this year are: Can China's export resilience continue amid rising external pressure from trading partners? And, if not, can China's domestic demand pick up the slack?

Stimulus should be geared toward boosting domestic demand and addressing imbalances

While external demand provided an unexpected boost, the slowdown in domestic activity was worse than most expected this time last year. Fixed-asset investments ended the year in negative growth at -3.8% year-on-year, year-to-date. It was the worst full-year FAI growth on record. Retail sales ended the year up 3.7% YoY, only a little higher than 2024's pace despite support from the trade-in policy.

One glaring weakness is the ongoing malaise in the property sector, which remains a headwind for both investment and consumption. This year's focus may be on reducing inventory to help address supply-demand imbalances. We saw moves in January to cut minimum downpayments for commercial real estate from 50% to 30%. More will be needed to address the downturn.

This year, policy guidance from high-profile meetings suggests the policy stance will remain supportive and that efforts will be oriented toward boosting domestic demand. The first tranche of this year's trade-in policy has been underwhelming. As such, we are awaiting new policy directions to boost consumption.

A quiet February heading into the Lunar New Year

As usual, most of China's January economic activity data will not be published in February. The government prefers to release the data in one single batch due to Lunar New Year-related volatility in the YoY numbers. Outside a few data points – such as the PMI, CPI, and housing prices – most other releases will be on hold. This means the market focus will likely be on breaking news events rather than macro data in February.

China's markets and large portions of the economy will be closed between 15-23 February for the Lunar New Year holiday.

On the policy front, things are expected to be relatively quiet leading up to China's Two Sessions in March. This is when we'll know this year's key targets, the policy direction, and the finalised 15th Five-Year Plan.

Why we expect interest rates to fall earlier than markets expect

James Smith
Economist, Developed Markets
james.smith@ing.com

We're sticking to our call for a March and June Bank of England rate cut, amid weak hiring data, rapidly slowing wage growth and an improving inflation backdrop

We're sticking to our call for Bank of England rate cuts in March and June

Markets don't expect another rate cut until summer

In December, Andrew Bailey, Governor of the Bank of England, hinted that it could slow the "cadence" of rate cuts – and markets have taken note. The next rate cut isn't expected before June. A March cut is priced with just a 16% probability.

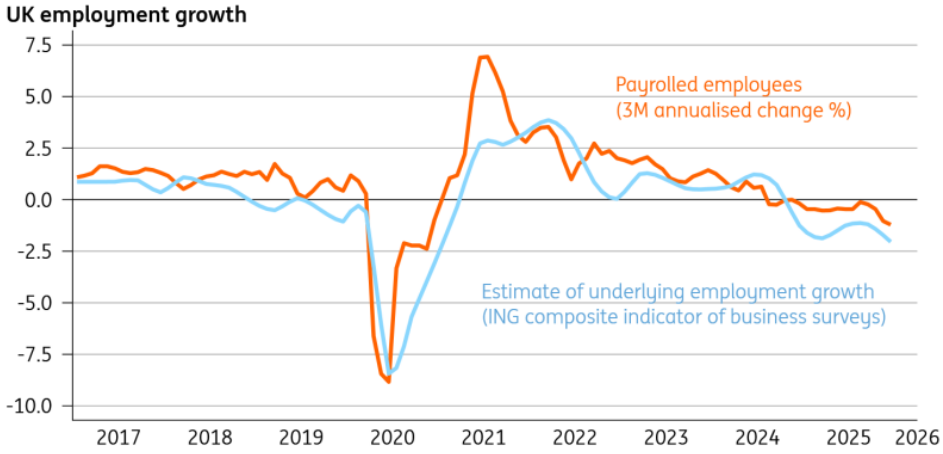
We still tend to disagree. We're sticking with our call for a March and June rate cut for three reasons.

First, the jobs market is undeniably weak – and getting weaker still. Private payrolls fell by more than 1% in 2025, and 0.25% alone in December. Hiring surveys are getting steadily worse. Vacancy rates are well below pre-Covid levels.

True, much of the weakness is concentrated in lower-paid consumer services, which were particularly hard hit by last year's tax/minimum wage changes. But the overall hiring weakness is bringing down private sector wage growth rapidly – from 6% at the start of last year and likely reaching 3% over the next few months.

We'll get two more jobs reports before the March meeting, and if these trends continue – and we expect they will – then it should make the committee more relaxed about the inflation outlook. Remember, a big concern for officials was that last year's spike in inflation – driven by food costs – would manifest into a more persistent bout of price pressure. But that theory only works if workers (and firms) have the power to recoup lost disposable incomes. And that power has hugely diminished since the 2022 energy shock.

Hiring surveys are still getting worse



Source: Macrobond, ING

Inflation is set to fall dramatically

That leads to the second argument in favour of earlier rate cuts: inflation is set to drop dramatically between now and April. Much of this is down to regulated price rises or government tax changes in 2025 that won't be replicated in 2026. Think VAT on private schools last January, or the rise in road tax and 25% surge in water/sewerage bills last April. The latter looks set to rise between 5-10% this year.

Admittedly, much of the pullback in headline CPI won't happen until April's data is released in May. But we should still get better news in data published ahead of the March meeting. Food inflation is likely to ease off further, just as it has done in the rest of Europe. And by extension, restaurant/café prices should rise less aggressively this winter too. This is often seen as a key bellwether of domestically-generated signals and would be reassuring for the Bank.

Finally, remember that the Bank of England is highly divided. That means it only takes one or two members to shift their view to dramatically change the path of rate cuts. On 1 October last year, investors were pricing just a 24% chance of a December cut – a move that was ultimately delivered. If we're right about the data over the next two months, then the Bank should become steadily more relaxed about inflation and markets could quickly reassess the potential for a March cut.

Deepali Bhargava
Regional Head of Research, Asia-Pacific
Deepali.Bhargava@ing.com

AI-driven trade boosts growth in Asia, while Singapore and Australia near policy shifts

Asia ended 2025 with strong momentum and continued to benefit from AI-related trade, though growth diverged notably between North and South Asia. With inflation largely contained across the region, the standout has been Australia, where a resilient labour market suggests the RBA is moving closer to a monetary policy inflection point

Australia has emerged as Asia's standout, with a strong December jobs report pushing expectations towards two rate hikes in 2026

Asia ends 2025 on a firm footing

The latest growth indicators suggest that Asia ended 2025 on a strong footing, particularly on the manufacturing and trade fronts, indicating that the region continues to benefit from the AI-related trade cycle. However, there was notable divergence: South Asian economies such as Vietnam, India, and Thailand recorded stronger PMI manufacturing readings compared with North Asian economies, including China and Taiwan.

Asia FX performance so far this year has also reflected this growth gap, with currencies like the Singapore dollar and Malaysian ringgit showing relative resilience, supported by stronger domestic demand prospects.

Singapore and Australia approach key policy turning points

With inflation pressures broadly contained across the region – Australia being the main exception – we continue to expect further rate cuts from the Reserve Bank of India and Bangko Sentral ng Pilipinas, both of which still operate at historically high real rates.

Singapore and Australia are the only two economies where policy bias has tilted toward potential tightening as soon as this week, though our base case in both instances is no change. In Singapore, while CPI inflation has picked up, it remains within the Monetary Authority of Singapore's (MAS's) target band. Given heightened geopolitical uncertainty, we think MAS is unlikely to tighten pre-emptively. We discuss Australia's developments in more detail below.

Volatility spreads from JPY rates into EM Asia, though bright spots remain

The volatility in JPY rates has spilt over into emerging markets, with Korea and Thailand experiencing the most significant pressures within Asia. We also expect bond markets in India and the Philippines to outperform, especially in an environment where rising fiscal and geopolitical risks since the start of the year are driving greater volatility and differentiation across Asia.

Importantly, both India and the Philippines have bond markets that are largely domestically driven, with scope for policy rates to move lower and with fiscal consolidation efforts offering an additional layer of support.

Australia: labour strength raises odds of policy tightening

Across Asia, the standout story has been Australia, where an exceptionally strong labour report for December has meaningfully shifted market expectations, with markets now pricing in two rate hikes in 2026.

In December 2025, total employment growth rose to an eight-month high, with more than 80% of the increase coming from full-time employment. However, looking at the three-month trend, the underlying momentum is still being driven primarily by part-time jobs. This distinction matters: part-time roles – typically lower paid and offering less job security, fewer benefits, and weaker income stability – tend to have a more limited impact on household spending compared with gains in full-time employment.

Other indicators also point to underlying labour market resilience. The unemployment rate declined by 20bp to 4.1% in December, bringing the fourth-quarter average to 4.25%, below the Reserve Bank of Australia's (RBA's) forecast of 4.4%. That said, labour data can be especially volatile around the December-January period. A similar pattern occurred in early 2025, when a sharp 25k rise in full-time jobs in January was followed by three months of softer employment growth.

Overall, while the latest data keeps the February RBA meeting very much alive, a policy move will ultimately hinge on whether the 4Q CPI print meaningfully exceeds the RBA's expectations. Our view is that 4Q CPI is more likely to undershoot the RBA's projections, which should reduce the probability of a February hike.

Let's talk about CEE rate cuts again

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Leszek Kasek
Senior Economist, Poland
leszek.kasek@ing.pl

David Havrlant
Chief Economist
david.havrlant@ing.com

Peter Virovacz
Senior Economist, Hungary
peter.virovacz@ing.com

Valentin Tataru
Chief Economist, Romania
valentin.tataru@ing.com

Poland's strong data should delay its next rate cuts until March, with GDP to accelerate in 2026. The Czech economy is set to grow thanks to consumption and low inflation, allowing easing to restart. Hungary faces mixed signals, but easing is likely amid political uncertainty. Romania sees modest growth, high inflation, and rate cuts after May

We're anticipating that interest rate cuts will materialise across Central and Eastern Europe this year

Poland: Solid performance to postpone the next interest rate cut until March

A total of 175bp in interest rate adjustments brought Poland's key interest rate to 4% by the end of December. National Bank of Poland (NBP) Governor Adam Glapiński had signalled a shift to a wait-and-see approach, and while a positive inflation surprise (2.4% year-on-year) raised the odds of a January cut, central bankers decided to keep rates unchanged.

Glapiński's dovish tone did prompt expectations of a February cut, provided that forthcoming data readings were supportive – but they were not. Surprisingly, wage growth accelerated to 8.6% YoY in December from 7.1% in November, and activity growth in industry and construction also came in well above market expectations. This suggests a revival in investments, while strong retail sales growth in December confirmed strong consumer demand. Against this backdrop, we see 3.6% real GDP growth in 2025 as a whole (data due for release today), and around 4% in the fourth quarter of 2025.

December's data gave the National Bank of Poland grounds to continue its pause in the monetary easing cycle in February. Policymakers should resume rate cuts in March, as new projections are expected to point to a low-inflation path. With the risk of inflation target undershooting rising over the medium term, and GDP growth accelerating slightly to 3.7% this year, we expect three rate cuts this year and see the target rate at 3.25%.

Czech Republic: Czech economy enjoys solid expansion amid low inflation

The Czech economy's solid performance is set to continue, with the output gap expected to close next quarter. This year's expansion will likely be driven predominantly by buoyant household consumption and a rebound in fixed investment. Indeed, the recent government subsidies to electricity prices for both consumers and businesses constitute a positive supply shock, when more is produced at a lower cost. At the same time, households will benefit from more relaxed budgetary constraints as lower energy bills free up disposable income. Nevertheless, the investment activity comeback could put the net export contribution under pressure, given the relatively import-intensive nature of many investment projects. We are optimistic about the impact of reduced energy costs on manufacturing, not only in Czechia but also in Germany, a vital destination for Czech exports.

Headline inflation is set to hover well below the target throughout the year, suppressed by low food price growth and declining fuel and regulated prices. However, core inflation will likely remain elevated, fostered by ample consumer spending. The Czech National Bank will decide on its next move in this twofold environment, and service price dynamics will be a crucial factor. Low energy prices are likely to trickle down across all price circuits; for instance, restaurants may be less prone to raising prices due to subdued food and energy costs. At the same time, solid demand may lead to higher margins when revising prices in January. We see the disinflationary force linked to low energy costs marginally dominating and pushing core inflation down around the summer, facilitating more relaxed monetary policy. The opportunity to proceed with a rate cut spans from March to August, when a low headline rate will be a fait accompli in the spring, and potential deceleration in core inflation will be tangible in the summer.

Hungary: It's a whirlwind of contradictions

While we await the release of Hungary's fourth-quarter GDP data, the results of the high-frequency data have been mixed so far. Nevertheless, we see services as the saviour, as well as agriculture, to some extent. If our forecast of 0.7% quarter-on-quarter GDP growth in 2025's fourth quarter is correct, this would create the opportunity for a positive carry-over effect and a chance to achieve GDP growth of around 2.3% in 2026. With improving consumer and business confidence, there is hope that government measures ahead of the general election will eventually lift economic activity and drag Hungary out of stagnation.

While the first half of the year is expected to be characterised by consumption growth and perhaps some improvement in investment activity, the second half could be determined by export activity. By then, flagship foreign direct investment (FDI) projects in car and electric vehicle (EV) battery manufacturing will have been completed, and factories will be in the production phase. These new export capacities will keep the labour market tight, while the improving business outlook and high minimum wage increases will keep labour costs rising. Services prices are most susceptible to this, though voluntary price cap measures (telecommunications, banking and insurance) will be in place during the first half of 2026.

On this note, while the margin freezes are officially set to expire at the end of February, it is highly unlikely that the government will extend them until after the election on 12 April 2026. Inflation remains a key political topic. One piece of evidence for this is that the cold spell in January would have prompted household energy bills to increase significantly (by up to three times the usual cost). However, the government acted quickly to cap January's bills, so this shouldn't affect inflation. As well as politics, this also has an impact on monetary policy. By avoiding a significant increase in energy prices, headline inflation will fall further, potentially reaching 2% YoY in early 2026.

This will give the National Bank of Hungary plenty of room for manoeuvre. Our base case anticipates two rate cuts in the first quarter, amounting to a total easing of 50bp in February and March. However, the outlook becomes more uncertain when we try to predict the interest rate path post-election. The main reason for this uncertainty is FX market volatility, which could be significant in either direction. Therefore, the risks are two-sided, but we expect the central bank to adhere strictly to its mandate and try to deliver on the inflation target while keeping the forint as stable as possible. We see one or two further rate cuts after the election, but the timing of future easing is uncertain. Recent polls show the largest opposition party (Tisza) with a nine-point lead over the incumbent party (Fidesz). Even this lead, however, is difficult to translate into actual electoral district wins, with 106 out of 199 seats in the Hungarian Assembly being decided in this way. Regardless of which political party you speak to, the general consensus is that it will be a close race. Based on the history of local elections, tight races tend to favour the incumbent party.

Romania: Challenges remain but investments are moving forward

We maintain our GDP growth forecast at 1.1% for 2025 and 1.4% for 2026. Short-term downside risks are still on the table as economic sentiment weakened further in the fourth quarter. That said, investments seem to be pushing forward and remain the key growth driver now – at least until consumer confidence starts to gradually improve, which will likely occur later on in the year.

The budget execution data brought positive news, with the deficit ending 2025 at 7.7% of GDP, significantly lower than the 8.4% agreed target and paving the way for a better-than-expected performance in 2026 too. Our forecast currently remains at 6.4% of GDP. The 2026 budget law remains in the making and is likely to pass in February.

Our year-end inflation forecast sits at 4.5% for 2026. By then, price pressures should remain in the 9-10% range through the summer, before the 2025 measures (tax hikes and the electricity market liberalisation) will fall out of base. We then expect visibly lower inflation from the second half of 2026. Two particular known unknowns are still in the picture – the gas price liberalisation and the removal of margin caps for essential food items.

Barring any unexpected shocks, we expect the National Bank of Romania to keep its policy rate at 6.50% until May 2026, after which we expect 100bp of rate cuts by the end of the year. The February Inflation Report remains the key forward guidance event in the meantime. Our view is that by May, policymakers will be in a better position to assess the demand dynamics and the impact of the key known unknowns on inflation.

An upbeat start to the year for the CIS-4

Dmitry Dolgin
Chief Economist, CIS
dmitry.dolgin@ing.de

Despite growing global uncertainties, the CIS region has entered the new year in better shape than we had previously expected. With few exceptions, the outlook for economic growth, inflation, interest rates and currencies seems to have room for improvement

Clockwise from top left: Armenia, Azerbaijan, Kazakhstan, Uzbekistan

Armenia: Ongoing peace process supports market sentiment

Armenia's latest data for 2025 shows economic activity holding up slightly better than expected. GDP growth remains resilient and is unlikely to slow meaningfully from the 5.8% recorded in 2024. Inflation surprised to the downside at 3.3% year-on-year in December, while the dram continues to firm up. Meanwhile, the ongoing foreign policy normalisation – highlighted by the recent start of fuel shipments from Azerbaijan – is supporting market sentiment.

We are constructive on Armenia's macro outlook for 2026. The improving geopolitical backdrop and a resilient currency create favourable conditions for inflation dynamics in 2026. Risks persist, notably around fiscal policy – which has yet to show clear signs of consolidation – and still elevated household inflation expectations. Against this backdrop, we expect the Central Bank of Armenia to keep the policy rate unchanged at 6.50% at the 3 February meeting, with room for a cut later this year should inflation anchor closer to the central bank's 3% long-term target. The stability of the dram remains a prerequisite for this scenario.

Azerbaijan: Growing external buffers to offer more insulation for the currency peg

Azerbaijan's trade surplus continues to narrow – falling below $1bn for the full-year 2025 – while softer oil price expectations point to lingering risks of a negative current account in 2026. However, the likelihood of this triggering pressure on the manat's 1.70/USD peg has diminished. A stronger-than-expected 2.6% GDP consolidated budget surplus last year boosted liquid assets at SOFAZ and the central bank to roughly 110% of GDP, giving policymakers ample capacity to defend the currency if needed. Meanwhile, the recent

appreciation of floating regional currencies – including the Kazakhstani tenge and Uzbekistani soum – makes the pegged manat less of an outlier, easing relative pressure.

On the rates side, the forward-looking indicators paint a relatively dovish picture. Slower-than-expected 1.4% GDP growth in 2025, easing inflation at 5.2-5.3% YoY, and a declining FX share in bank deposits all support the case for eventual monetary easing. Still, caution is warranted; the consolidated fiscal balance excluding SOFAZ fuel revenues widened to 11% of GDP last year due to higher spending, while the external trade balance deteriorated as imports outpaced exports. These trends argue for maintaining the current stance in the near term, with any cuts contingent on firmer evidence of sustained disinflation and improved fiscal discipline. We expect the Central Bank of the Republic of Azerbaijan to leave the policy rate unchanged at 6.75% at the 4 February meeting.

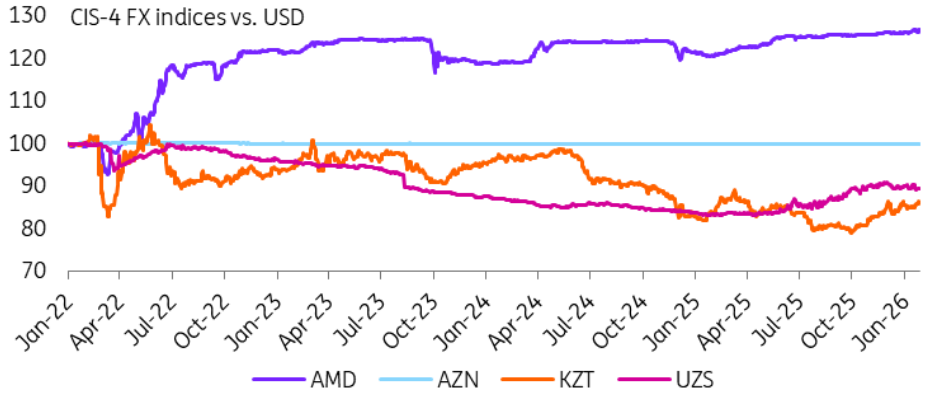
Kazakhstan: Fiscal and quasi-fiscal developments pivotal for the macro case

Kazakhstan entered 2026 with a slightly firmer-than-expected FX performance. This was supported by portfolio inflows helping to contain inflationary pressures, which remain significant. Headline CPI, despite the recent slowdown, is still elevated at 12.3% YoY as of December 2025, and the National Bank of Kazakhstan (NBK) expects the VAT hike to add up to 2ppt to CPI in the first quarter of 2026, followed by some temporary moderation afterwards. However, several factors call for extra caution. The disinflationary impact of tenge appreciation has largely faded, the expiry of the administrative freeze on utility tariffs poses an upside risk beyond 1Q26, and quasi-fiscal support via Baiterek venture fund lending of roughly KZT8tr (4-5% of GDP) continues to fuel demand-side pressure. We reiterate that we expect 14-15% YoY CPI to be the threshold for the NBK; a breach in the coming months could trigger additional rate hikes.

Prospects for the tenge also remain uncertain, as the FX market is set to experience a decline in state-driven FX support. Transfers from the state oil fund NFRK, around 80% of which convert into FX sales, are projected to fall from $10.4bn in 2025 to $5-6bn this year. While actual transfers may again exceed the plan given previous fiscal patterns, we still expect them to remain below the $8.2bn seen in 2025. This will be partly offset by higher NBK FX sales linked to domestic gold purchases (including $5bn related to 2024, spread across 2026-27). Overall, we remain constructive on the KZT in the near term as the scope for portfolio inflows into the local state bond market is not exhausted, but we will turn more cautious later in the year as fiscal FX support declines and oil exports moderate after a strong 2025.

CIS-4 FX markets are in an upbeat mood

CIS currencies vs USD, index, end-2021 = 100



Source: National sources, Refinitiv, CEIC, ING

Uzbekistan: Gold price rally not yet fully priced in by the soum

Uzbekistan's central bank kept its policy rate unchanged at 14.00% this week, maintaining a tight stance despite another downside surprise in inflation, which slowed to 7.3% YoY in December. The accompanying statement, however, was dovish, signalling that rate cuts may be considered if disinflation continues, though authorities also highlighted several upside risks – including strong domestic and external demand, expected 6.5-7.0% GDP growth, and uncertainty around upcoming changes in regulated utility tariffs. In our view, additional pressures stem from rapid monetary supply growth of 37% YoY and signs that the disinflationary pass-through from the earlier UZS rally (+6.9% in 2025) is fading as the currency stabilises.

Looking ahead, we see a balanced but cautiously positive outlook. The planned May 2026 regulated tariff increase is modest, at around 10%, far below the large 33–50% adjustment in May 2025, while fiscal policy may offer a disinflationary surprise, given the strengthening consolidation trend since 2024. Importantly, we believe the ongoing gold price rally is not yet fully reflected in the soum. With the government's gold exports on tactical hold since October, the eventual resumption should support the trade balance and potentially deliver a second leg of UZS strength. According to our estimates, each $1,000/oz of gold translates into $3.5-4.5bn of annual gold exports for Uzbekistan. Taken together, these factors keep the door open to a policy rate cut of up to 200bp later in the year – provided inflation anchors itself in the 6-7% range.

Chris Turner
Global Head of Markets and Regional Head of Research, UK & CEE
chris.turner@ing.com

Dollar weighed down by better alternatives and intervention

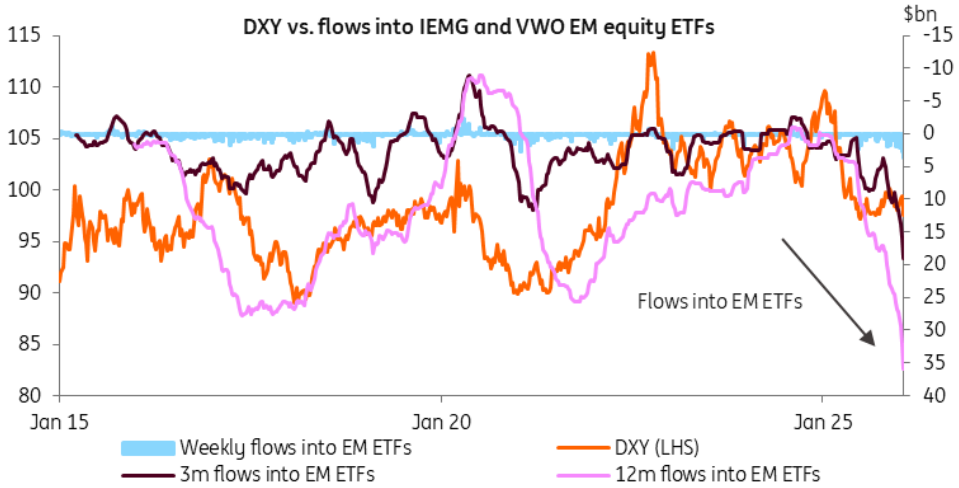
January has proved a soft month for the dollar. Bullish sentiment on the global economy continues to challenge the US exceptionalism narrative, while geopolitics, fiscal risks and now the threat of joint FX intervention are all hitting the dollar, too. Our preference remains for a broader dollar sell-off occurring later in the year

The dollar remains vulnerable, but a broader sell-off may come later in the year

Dollar at its lows

The DXY dollar index is ending January at its multi-quarter lows. We see several factors driving this trend. The first is the global investment environment. Investors certainly have a glass half-full view of global growth prospects this year. This is good news for both commodity exporting economies and emerging markets in general. In fact, we are starting to see some of the strongest cumulative portfolio flows to emerging markets in over a decade. Typically, money being put to work in emerging markets comes at the expense of the dollar. This trend looks set to continue.

Strong flows into emerging markets normally weigh on the dollar



Source: NG, Refinitiv

The second is the uncertain political environment in the US. One takeaway from the Greenland turmoil and the equity sell-off was that the dollar struggled to demonstrate any safe-haven properties. While we doubt international investors will make wholesale changes to geographic portfolios based on politics alone, the uncertainty has inserted a little more risk premium into the dollar. However, the European buyside looks like it has more appropriate FX hedge ratios on US assets than it had before April last year. We cannot see increased hedging being worth another 10% drop in the dollar.

Another factor is the fiscal risk profile. Here Japan's JGB sell-off hit both US Treasuries and UK Gilts and led to pressure on all three currencies. This factor will be with us all year. And finally, it seems like Japanese authorities – perhaps with the US too – have lost patience with the rise in USD/JPY and the instability it was causing for bond markets. Japan has the capacity to deploy up to $100bn in FX intervention, while any confirmation of US participation – which would mark the first joint action since 2011 – would really register on the market's psyche.

The path ahead

We are bearish on the dollar this year on the back of declining rate differentials and some genuine growth opportunities outside of the US – including Europe. In the short term, however, the US economy is holding up well, Federal Reserve rate cuts look to be delayed, and high energy prices will be weighing on the terms of trade in Europe and Asia. Additionally, and as impressive as any joint US-Japan intervention is, USD/JPY fundamentals have yet to turn. Here, we can see intervention turning into a passive campaign in the 155-160 area with decreasing marginal returns.

Our preference is that EUR/USD can continue to trade in a broad 1.16-19 range through the first quarter. February is typically a seasonally positive month for the dollar and the US macro environment may prove more supportive. We then have EUR/USD moving up through 1.20 through late summer to a modest end-year target of 1.22. A sharp break-up through 1.20 in the first quarter would be a surprise. For USD/JPY, investors will be wary of a repeat of the 10-12% drop seen in the summer of 2024. Failure of the LDP to gain a majority at the 8 February election or prospects of a much earlier Bank of Japan rate hike could add momentum to such a move.

Rates: Turning Japanese, I really think so

Padhraic Garvey
Head of Global Debt and Rates Strategy/
Regional Head of Research, Americas
padhraic.garvey@ing.com

We don't often spotlight Asia here, but this month we're all about Japan. What's happening there has important echoes for core markets in the West. The dominant impulse is upward pressure on market rates (dramatic in Japan of late), but at the same time, an ongoing evolution toward normal rates (and curves). This remains a thing in both the eurozone and the US

The ECB's Christine Lagarde, the Fed's Jerome Powell, and the BoJ's Kazuo Ueda

Pressure for higher rates in Japan is an important relative value driver

There has been quite a theme of consternation in Japan of late. It has crescendoed over the past week amid talk of imminent Bank of Japan intervention to secure a turnaround for the super-weak Japanese yen (JPY). The backstory here involves maintaining exceptionally low official rates. Last week, the Bank of Japan (BoJ) left the official rate unchanged at 0.75%. In prior weeks, though, the 30yr JGB yield almost touched 4%. The markets have clearly decided that the BoJ is lagging in its rate-hike game, and the weakness of JPY tells a similar story (a recent note here shows how this presents an opportunity).

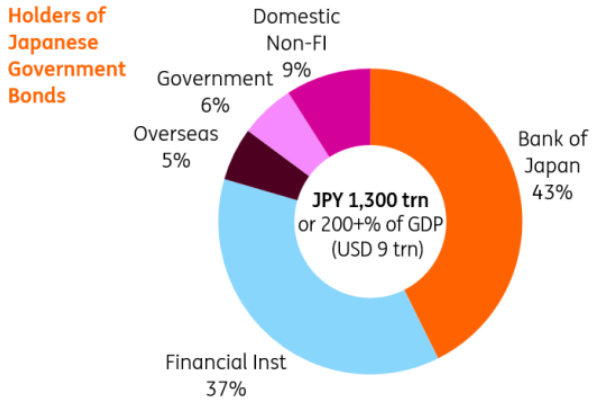
The wider core rates environment is sitting up and paying attention to all of this – and for good reason. First, what's happening in Japan represents a clear swing from the prior zero-rate environment to a more normal rates environment. We noted almost a year ago that rate pressure to the upside was a thing (it's here). We also held out 2% as a viable neutral rate for the BoJ to aim for, eventually. The 10yr JGB yield shot above that level in the past few weeks, and remains on a medium-term journey higher. And why not? Japanese inflation is currently in the 2.5-3% territory.

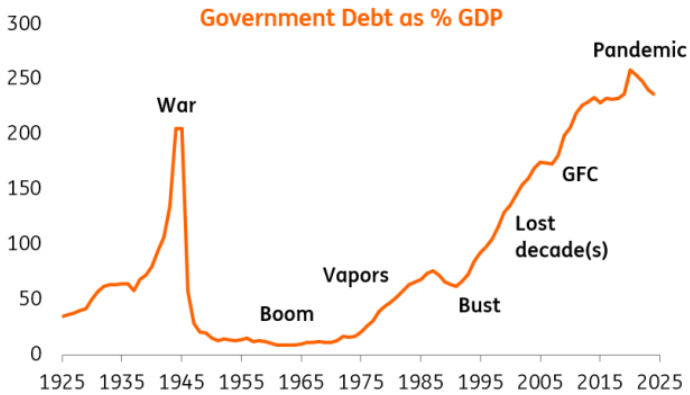
Apart from the move away from deflation, there have been a few important landmarks along the way that point to upward pressure on Japanese rates. First, inflation has become a thing in most core markets, including the eurozone (the ECB is already at its neutral rate of 2%). Second, the BoJ ended its policy of yield curve control in March 2024 (although the market reaction was initially muted by ongoing BoJ support buying). Third, wide rate differentials with other core centres were clearly proving detrimental to the JPY, suggesting the differentials were too high (Japanese rates too low).

And, while not front and centre as an immediate issue, we can't ignore the inconvenient truth of Japan's mammoth debt/GDP ratio. While about half of Japanese Government Bonds (JGBs) are held by the official sector, and foreign ownership is low, there is still a massive debt obligation outstanding. This means two key outcomes. First, the classic low-rate funding currency of recent decades may still be with us, but now at much higher and rising funding rates. Second, this impacts US and eurozone rates from a relative-value perspective, pressuring them higher from below.

Holders of JGBs and the build of debt

Latest data for September 2025





Source: ING estimates, Macrobond

As normal as you like in the eurozone and the US

Our rates outlook for 2026 (here) centres on a theme of chaos, but also one of normality for rates. The noise out of Japan pushes in the same direction, as we see the BoJ eventually getting to 2% (perhaps not in the current cycle). In the eurozone, the ECB is already at its neutral deposit rate of 2%. And the 10yr Euribor rate is close to the 3% area, with an almost 100bp curve.

In the US, the Federal Reserve has a 3% handle on its funds rate, and the market discount has it ending in the 3-3.5% range. Again, a picture of neutrality. The same holds for the 10yr Treasury yield at or about 4.2% – also not too deviant from neutral versus long-run averages.

Our twist on this is the identification of an upward bias to longer tenor rates, both in the US and eurozone (and Japan), with inflation and fiscal circumstances as drivers (explained more fully in the aforementioned rates outlook for 2026).

GDP forecasts

Developed markets, QoQ% annualised (avg)	4Q25F	1Q26F	2Q26F	3Q26F	4Q26F	2025F	2026F	2027F
US	2.7	2.7	2.2	1.8	1.9	2.2	2.7	2.0
Japan	0.8	1.6	3.0	1.6	1.2	1.1	1.3	1.2
Germany	0.4	1.2	1.2	1.6	1.9	0.2	0.9	1.9
France	0.4	0.8	1.0	0.8	0.6	0.8	1.0	1.1
UK	0.8	1.4	1.2	0.8	0.8	1.4	1.0	1.4
Italy	0.7	0.8	1.0	1.2	1.0	0.6	0.8	0.8
Canada	0.2	1.2	1.5	2.3	2.5	1.7	1.3	2.2
Australia	1.9	2.1	2.2	2.3	2.2	1.8	2.2	2.5
Eurozone	0.8	0.9	1.3	1.7	1.8	1.4	1.2	1.6
Austria	1.0	1.2	1.4	1.6	1.8	0.6	1.3	1.7
Spain	2.6	2.2	2.1	2.3	1.7	2.9	2.3	2.1
Netherlands	1.7	1.2	1.2	1.5	1.6	1.8	1.5	1.5
Belgium	0.8	0.8	0.8	1.2	1.2	1.0	0.9	1.2
Greece	2.3	1.6	2.4	3.1	2.1	2.0	2.2	2.0
Portugal	2.1	2.0	2.0	2.0	2.1	1.9	2.2	2.1
Switzerland	1.4	1.2	1.6	1.6	1.2	1.2	0.9	1.4
Sweden	1.0	1.3	1.2	1.3	1.3	1.0	1.2	1.4

Emerging Markets, (YoY% growth)	4Q25F	1Q26F	2Q26F	3Q26F	4Q26F	2025F	2026F	2027F
Bulgaria	3.2	3.3	3.1	3.0	2.5	3.1	2.9	2.5
Croatia	1.9	2.3	1.9	2.0	1.8	2.7	2.0	1.7
Czech Republic	2.5	2.6	2.8	2.7	2.8	2.6	2.7	2.7
Hungary	1.0	2.2	2.0	2.4	2.7	0.4	2.3	2.8
Poland	4.0	3.8	3.8	3.6	3.7	3.6	3.7	3.2
Romania	0.4	0.8	0.4	1.3	2.5	1.1	1.4	2.8
Turkey	4.2	4.4	3.8	3.5	4.2	3.8	4.0	4.5
Serbia	1.9	3.4	3.1	3.5	3.2	2.0	3.3	3.7
Azerbaijan	1.6	4.0	2.5	3.5	1.0	1.3	2.8	2.0
Kazakhstan	5.3	3.5	4.5	5.0	6.0	6.0	4.8	4.0
Russia	0.2	1.0	1.0	0.5	-0.5	0.8	0.5	0.8
Uzbekistan	6.5	6.5	6.3	5.7	5.5	7.3	6.0	5.5
Ukraine	3.9	2.1	2.6	2.5	2.8	1.8	2.5	3.4
China	4.5	4.6	4.6	4.7	4.5	5.0	4.6	4.5
India	7.0	6.5	6.5	6.4	6.4	7.6	6.5	6.5
Indonesia	4.7	4.8	4.9	5.0	5.0	4.8	4.9	5.0
Korea	1.5	2.4	2.2	1.2	2.0	1.0	2.0	1.8
Philippines	4.0	5.2	5.2	5.5	5.5	4.7	5.4	6.0
Singapore	5.7	3.5	3.2	2.0	2.0	4.7	2.7	1.8
Taiwan	12.7	10.2	7.4	7.1	3.3	8.6	6.9	4.7

Norway: Forecasts are mainland GDP
Source: ING estimates

CPI Forecasts (pa)

YoY% (avg)	4Q25F	1Q26F	2Q26F	3Q26F	4Q26F	2025F	2026F	2027F
US	2.7	2.6	2.8	2.5	2.4	2.7	2.6	2.1
Japan	2.7	1.9	1.9	2.0	1.7	3.2	1.9	1.9
Germany	2.2	2.0	2.3	2.3	2.1	2.2	2.2	2.2
France	0.8	1.1	1.3	1.3	1.5	0.9	1.3	1.5
UK	3.4	2.8	1.9	2.1	2.2	3.4	2.2	2.2
Italy	1.2	1.2	1.6	1.8	2.1	1.7	1.7	1.9
Canada	2.2	2.2	2.2	2.1	2.1	2.1	2.1	2.1
Australia	3.4	3.0	3.0	2.8	2.4	2.8	2.8	2.5
Eurozone	2.0	2.0	1.9	1.8	1.9	2.1	1.9	2.0
Austria	3.9	2.1	2.1	2.2	2.2	3.6	2.2	2.1
Spain	3.1	2.3	2.3	2.3	2.4	2.7	2.3	2.1
Netherlands	2.7	2.0	1.8	1.8	1.7	3.0	1.8	2.1
Belgium	2.3	1.8	2.0	2.2	2.1	2.6	2.1	2.0
Greece	2.4	2.7	2.5	2.7	2.4	2.9	2.6	2.2
Portugal	2.1	2.1	2.0	2.1	2.2	2.0	2.1	2.0
Switzerland	0.1	0.2	0.4	0.5	0.5	0.2	0.4	0.7
Sweden	2.6	1.6	2.0	2.0	1.9	2.5	2.0	2.0
Bulgaria	5.1	3.1	3.4	1.9	1.9	4.6	2.6	2.4
Croatia	3.6	3.1	3.3	2.4	2.7	3.7	2.9	2.7
Czech Republic	2.2	1.0	1.1	0.9	1.3	2.5	1.1	2.2
Hungary	3.7	2.1	3.2	3.8	4.8	4.4	3.5	4.3
Poland	2.6	2.0	2.3	1.9	2.4	3.6	2.2	2.2
Romania	9.7	9.1	9.4	5.1	4.5	7.3	7.1	4.1
Turkey	30.9	27.2	24.5	22.4	22.0	34.9	24.4	18.9
Serbia	2.8	2.7	2.9	2.5	3.4	3.9	2.9	3.8
Azerbaijan	5.6	5.1	5.0	4.8	5.1	5.6	5.0	8.9
Kazakhstan	12.4	14.1	13.5	11.8	11.1	11.4	12.6	7.0
Russia	6.7	6.6	5.9	4.7	4.9	8.7	5.5	3.9
Uzbekistan	7.5	7.2	6.6	6.4	6.8	8.8	6.8	6.8
Ukraine	10.5	9.2	8.5	7.5	7.0	13.2	8.1	6.2
China	0.7	1.1	0.5	0.9	1.0	0.1	0.9	1.2
India	1.1	2.8	3.5	3.5	4.8	2.3	3.7	5.0
Indonesia	2.5	3.0	2.3	2.5	2.5	1.8	2.6	2.5
Korea	2.4	1.6	1.9	2.1	2.0	2.1	1.9	2.0
Philippines	2.0	2.5	3.0	3.2	3.0	1.8	3.0	3.0
Singapore	0.6	1.0	1.2	1.3	1.5	0.8	1.3	2.0
Taiwan	1.4	1.2	1.7	1.7	1.8	1.7	1.6	1.6

*Quarterly forecasts are quarterly average; yearly forecasts are average over the year, HICP for Eurozone economies
Source: ING estimates

Oil and natural gas forecasts (avg)

	1Q26F	2Q26F	3Q26F	4Q26F	2025F	2026F	2027F
Brent ($/bbl)	58	56	58	54	68	57	62
Dutch TTF (EUR/MWh)	33	28	27	30	36	30	26

Source: ING estimates

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